



DALAL & BROACHA STOCK BROKING PVT. LTD.

POLICY FOR CLIENT CODE MODIFICATION (Applicable for all exchange/segment)

On Line Modification:

- Genuine punching errors in client codes while placing orders shall be allowed to be modified.
- Client code modification facilities shall be disabled from all the dealer terminals.
- Client code modification shall be carried out only from the admin terminals located at H.O. surveillance desk by Mr. Sanjay Suratwala in BSE Cash Segment, Mr. Jashubhai Shah in NSE Cash Segment, Mr. Rajesh Sheth in NSE F&O Segment for the Retail Client & Mr. Narendra Limbyache in NSE Cash Segment & BSE Cash Segment & Mr. Amit Parikh in NSEF&O Segment for the Institutional clients under the intimation to any of the directors.
- While carrying out code modification, genuineness of the punching errors shall be verified against corroborative circumstantial evidences like similarities of codes, trades in immediately preceding codes, square off trades without holdings or position or any such other evidences shall have to be taken into account.
- Complete records of daily online trade modifications shall be maintained in soft form.

Off Line back office modification:

- Genuine punching errors in client code, if detected after the end of post closing sessions may be allowed to be modified subject to the verification of genuineness as narrated above.
- For F&O segment, as far as possible, the errors would be rectified by reversal trade in next trading session and the rate differences shall be set off by passing a JV entry in the ledgers of affected clients. In case the client do not agrees to keep such wrong trade record in his account, such trades may be rectified by moving both legs of the trades to the account of actual client instead of settling it though JV entry.
- For Cash segment any such errors would be rectified after verifying genuineness.
- Any such back office client code modification shall be carried out by Mr. Shriram Dhamankar who is in charges of back office processing.
- A record containing required details shall be maintained for all such modifications. Concerned dealer/sub-broker shall enter the required details and which shall be approved by counter signature of any of the directors.



Trade Error Policy – Part of RMS Policy

➤ Intimation at the end of Dealer as per Error Trade Policy:

The dealer has to intimate such errors immediately to the Manager as per the format given below.

Date	Client Code	Exchange BSE/NSE/ NSE FO	Script/Strike/ Expiry	Qty.	Price	Buy/Sell	Total Value	Order No.	Trade No.	Reason	Dealer's Name	Branch

➤ Risk involved due to human intervention:

1. There is a possibility of loss due to error trade since the price at which the wrong trade is squared off could be different from the earlier price.
2. What ever the loss or profit will be booked in profit & loss account, with approval of Manager

➤ Measures suggested to prevent/mitigate risk:

1. Order to be accepted by the dealers only.

➤ Action by Back Office:

Back office to maintain a detailed record of Error deal as per Annexure I. The operations team to ensure that ledger of error account is reconciled on daily basis and open positions if any are reported to HODs on daily basis.

1. Sell order placed instead of buy/ Buy order placed instead of Sell

➤ Corrective Action at dealer's end:

1. Wrong Trade to be squared-off immediately and intimation to be given to the client in this regard.
2. Depend on what time has the dealer realized the mistake. If it is during trading hours then it can be squared off immediately and profit or loss if any to be booked to respective dealing error account through JV on approval.
3. **a. In case of Sell Order placed instead of Buy:-** If it is realized after trading hours then trade will go into auction and hence would not require to be squared off on the next trading date. The profit / loss on account of auction to be transferred to error account through JV on approval.



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b. In case of Buy Order placed instead of Sell:-

- (i) If it is realized after trading hours then intimation to be sent immediately as per the Error note given below before 9.30 a.m. on next day. Any requests received later will not be entertained. The same has to be sold immediately. Due to any reason it is not squared off then to square off before T + 3 day. The difference amount should be booked into profit and loss account on approval.
- (ii) If close out is received from the exchange instead of delivery then the amount should be booked into profit & loss account on approval.

2. Wrong scrip code punched: I.e. wrong shares bought or sold:

➤ **Corrective Action at dealer's end:**

1. The wrong trade to be squared-off as soon as possible and intimation to be given to the client in this regard.
2. Depend on what time has the dealer realized the mistake. If it is during trading hours then it can be squared off immediately and profit or loss if any to be booked to respective dealing error account through JV on approval.
3. a. **In case of Sell Order placed in wrong scrip:-** If it is realized after trading hours then trade will go into auction and hence would not require to be squared off on the next trading date. The profit / loss on account of auction to be transferred to error account through JV on approval.

b. In case of Buy Order placed in wrong scrip:-

- a. If it is realized after trading hours then intimation to be sent immediately as per the Error note given below before 9.30 a.m. on next day. Any requests received later will not be entertained. The same has to be sold immediately. Due to any reason it is not squared off then to square off before T + 3 day. The difference amount should be booked into profit and loss account on approval.
- b. If close out is received from the exchange instead of delivery then the amount should be booked into profit & loss account

3. Error in punching the quantity of the securities

➤ **Corrective Action at dealer's end:**

❖ **Sold excess quantity than specified by client:**

1. Intimation to be given to client about the error.
2. In case client disagree and if it is known before trading hours.
 - a. The Excess quantity than specified by client, needs to be squared off immediately irrespective of price change
 - b. There is a possibility of loss in such cases since the price at which the wrong trade is squared off could be different from the earlier price.
 - c. What ever the loss or profit will be booked in profit & loss account through j.v. on approval.
3. If the error is realized after trading hours;



- (i) If it is realized after trading hours then intimation to be sent immediately as per the Error note given below before 9.30 a.m. on next day. Any requests received later will not be entertained. The same has to be sold immediately. Due to any reason it is not squared off then to square off before T + 3 day. The difference amount should be booked into profit and loss account on approval.
- (ii) If close out is received from the exchange instead of delivery then the amount should be booked into profit & loss account on approval.
- (iii)

❖ **Bought excess quantity than specified by client:**

1. Intimation to be given to client about the error on recorded lines.
2. In case client disagree and if it is known before trading hours.
 - a. The Excess quantity than specified by client, needs to be squared off immediately irrespective of price change
 - b. There is a possibility of loss in such cases since the price at which the wrong trade is squared off could be different from the earlier price.
 - c. What ever the loss or profit will be booked in profit & loss account through j.v. on approval.
3. If the error is realized after trading hours;
 - (i) If it is realized after trading hours then intimation to be sent immediately as per the Error note given below before 9.30 a.m. on next day. Any requests received later will not be entertained. The same has to be sold immediately. Due to any reason it is not squared off then to square off before T + 3 day. The difference amount should be booked into profit and loss account on approval.
 - (ii) If close out is received from the exchange instead of delivery then the amount should be booked into profit & loss account on approval.

2. **Order entered at a price different from that specified by the client.**

➤ **Corrective Action at dealer's end:**

1. If the trade is executed then the dealer should intimate the client immediately. In case if the client disagrees, the wrong trade to be squared-off immediately and profit or loss if any to be booked to respective dealing error account through JV on approval.

3. **Order of preference for corrective action**

Positions in order of loss should be squared off. Maximum loss position will be squared off first.

RMS to consult respective Heads for corrective action, in case of confusion/huge loss.

4. **Approval**



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Authority for approvals are as under:

1. Branch Manager
2. Head – RMS
3. Head – Operations
4. Head – Retail

7. Limits to errors

➤ **Limits defined as per Error Trade Policy are:**

The limit to maximum errors acceptable at dealer end is 3 per month with a cap of Rs. 15,000/- of loss per month in case of cash segment and Rs. 25,000/- of loss per month in case of F&O.

➤ **Action by Back Office:**

In case any dealer exceeds this limit, suitable action to be initiated in consultation with concerned Head. Any breach in limits, the case should be immediately reported to MD & CEO

8. Reports

➤ Reports maintenance:

Back office to maintain the following reports:

- (1) Register of error trades, dealer wise weekly to be place before Business Heads & MD
- (2) Statement of dealers exceeding the limits of occurrence of error trades.

For Dalal & Broacha Stock Broking Pvt.Ltd.

N. D. A. S.

Director



DALAL & BROACHA STOCK BROKING PVT.LTD.
Client Code Modification/Error Trade Report

Name of the Dealer:

Date:

Exchange				
Settlement No.				
Execution time of Error				
Execution time of Correction				
Client for whom trade done				
Name of Scrip				
Impact of Error				
Transaction	Qty.	Rate	Value	
Bought				
Sold				
Impact: Profit/ (Loss)				
(STT suffered on the transaction)				
(Service tax on Transaction charges)				
Rounding off				
Net Profit/(Loss) Incl. STT & ST				
Prepared By:				
Asst. Manager				
Head Operations				
Dealing In-Charge				
Head Instl.				
Dealer Name:			Authrosied/Approved:	
Dealer Signature			Director	

Tick	Sr.no.	Reason Remark
☐	1	Wrong Client Code Punched
☐	2	Buy Order Wrongly sold / Sell Order Wrongly Bought
☐	3	Wrong Scrip Sold/Purchased
☐	4	Wrong Scrip Selected
☐	5	Communication Error from Client while placing order in Client Code
☐	6	Wrong Client Code Punched within Family Member(relation-wife/husband/daughter/son/parents-mother/father)
☐	7	Allocation to related FPIs
☐	8	Others(write in details)
☐		